

THE SEARCH FOR A SOUND BUSINESS IDEA

Presented by

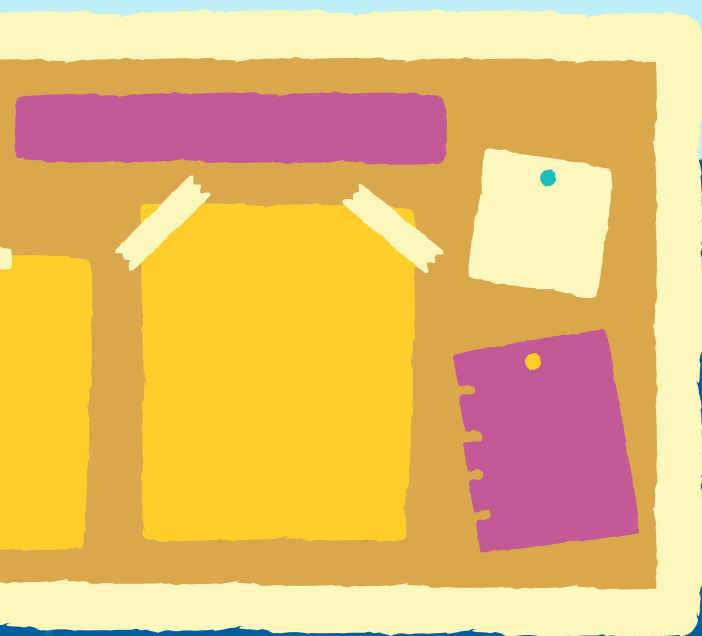
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OBJECTIVES

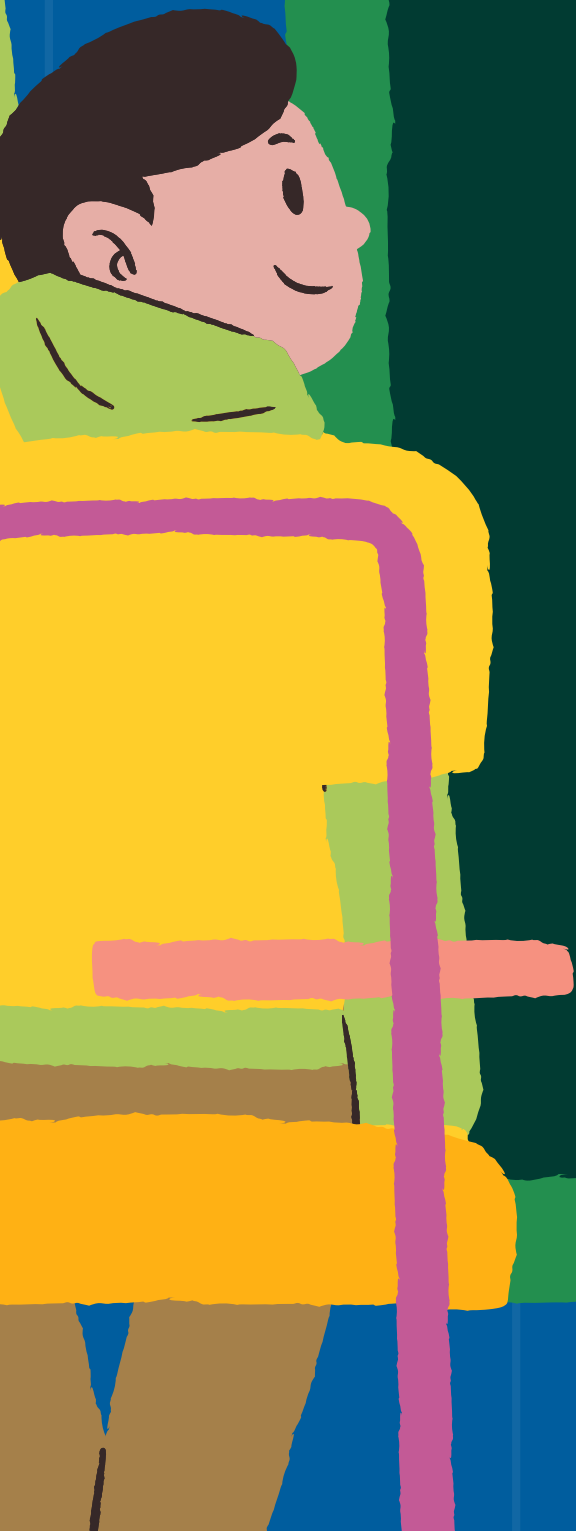
After the discussion, the students should be able to:

- To understand what a sound business idea means.
- To learn how to find or create good business ideas.
- To know the steps in choosing the best idea for a business.
- To realize the importance of creativity in making business ideas successful.

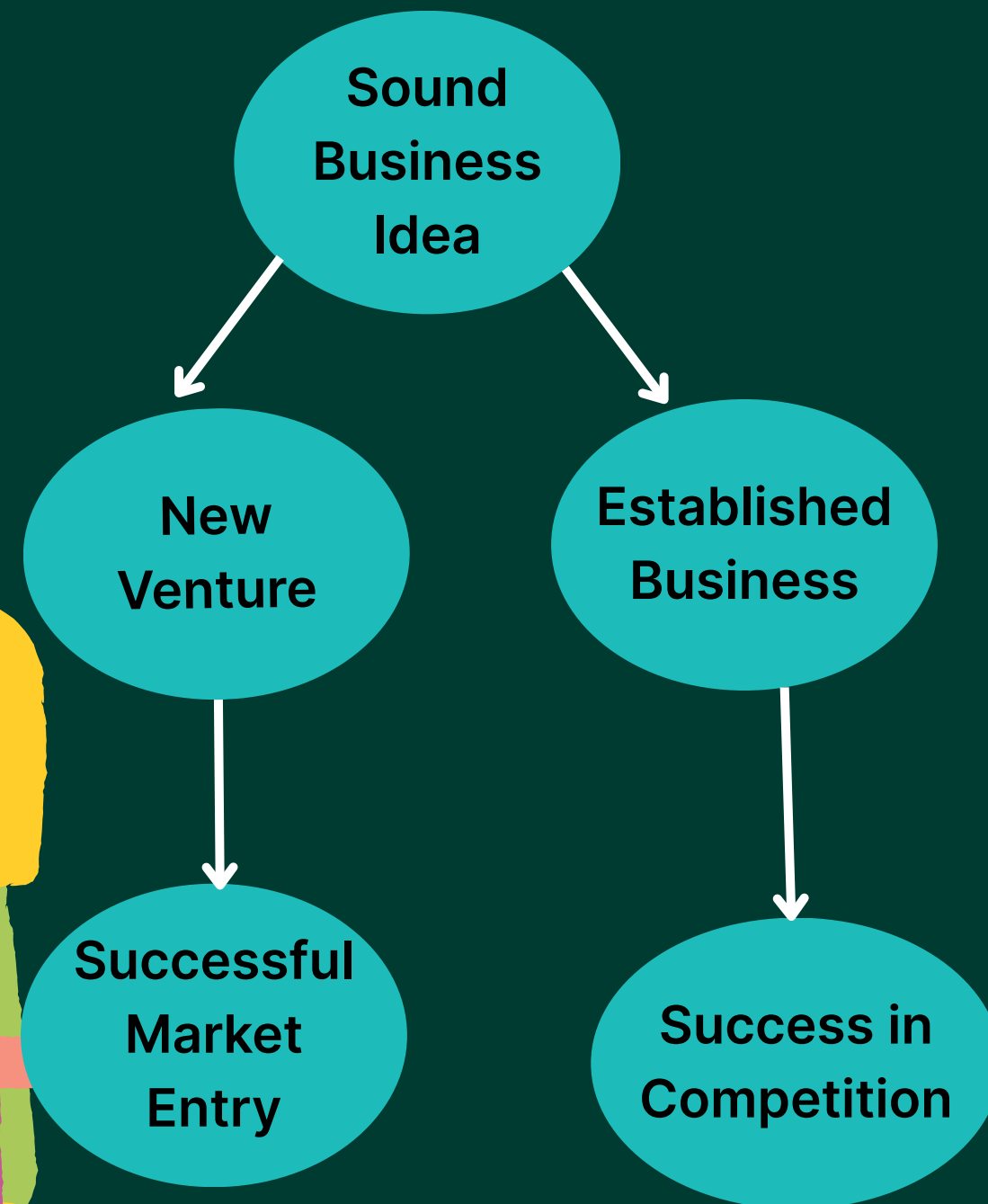


THE SEARCH FOR A SOUND BUSINESS IDEA

A new business venture is confronted with the immediate concern of gaining at least a foothold in the market it desires to serve. An established business, however, has a different concern-it must grow or at least maintain its competitive stance. In both cases, there is a need to adapt new sound business ideas.



The importance of Sound Business Idea



The product or service offering may be improved in terms of:

1. **Performance** - like the chair that can carry more weight;
2. **Maintenance cost** - like the car battery that requires less servicing than competing brands;
3. **Acquisition cost** - like the latest low priced model of a certain brand of cell-phone compared to competition;
4. **Salvage value** - like the steel filing cabinet that has a higher salvage value; and
5. **Uses** - like the flypaper that can also be used as mousetrap.

WHAT IS A SOUND BUSINESS IDEA

A sound business idea is an economic opportunity that matches the entrepreneur's skills and resources, offering valuable returns. Entrepreneurs who understand and choose a sound business idea can save time, effort, and money while achieving their goals.

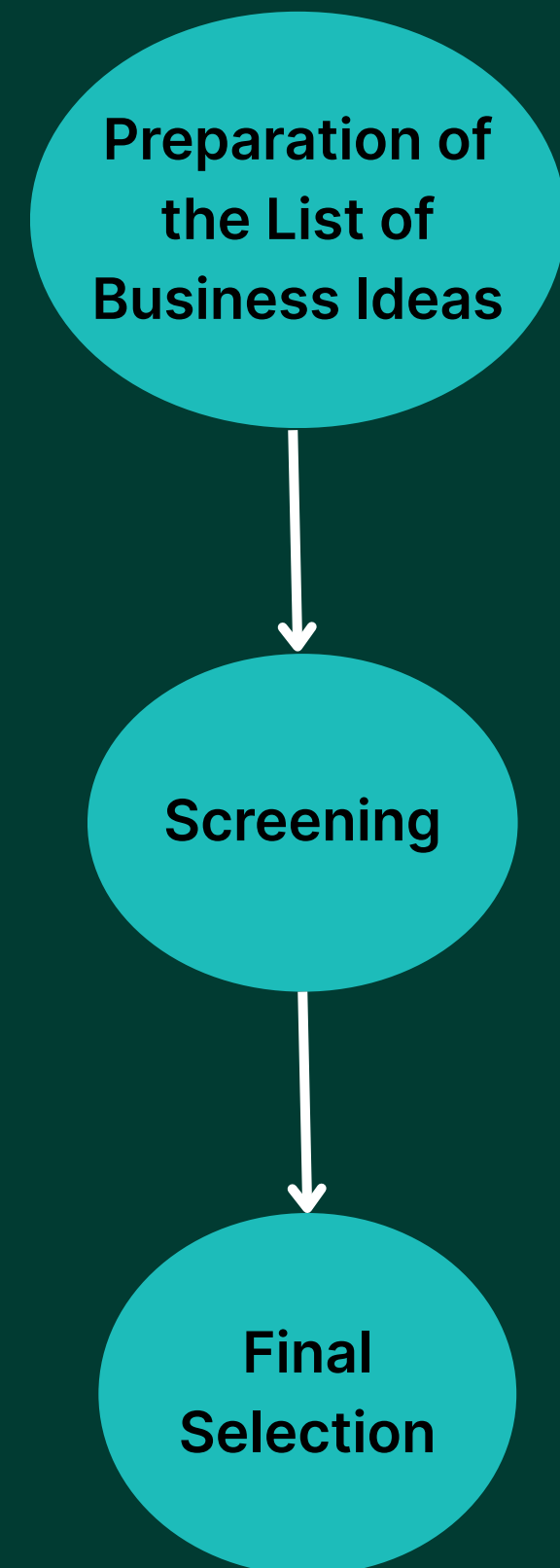
Before starting a venture, it's important to evaluate if the idea is truly sound. Successful companies like DHL, FEDEX, and LBC proved that recognizing opportunities and adapting effective business ideas lead to long-term success.



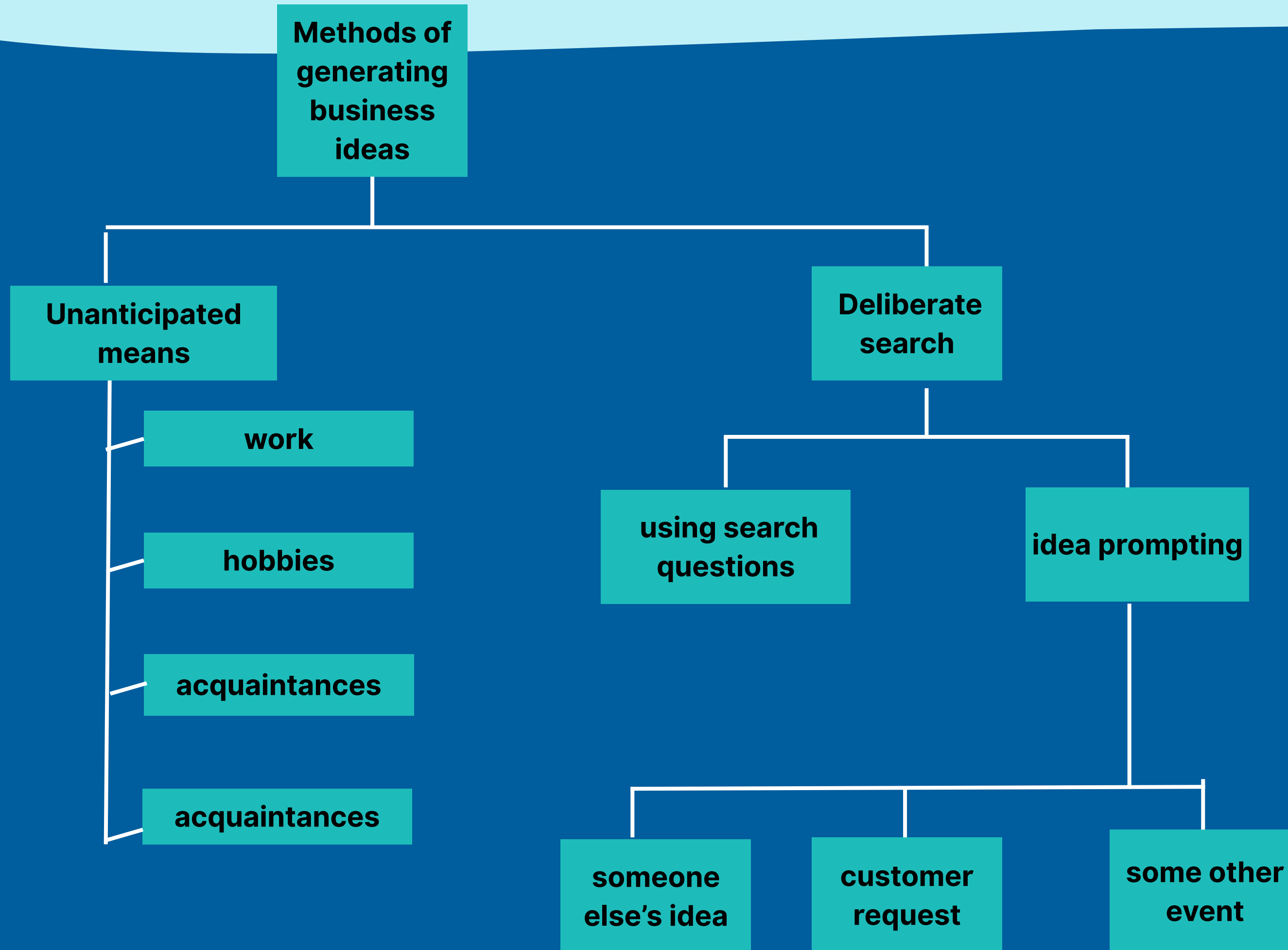
PROCEDURE FOR DETERMINING THE BEST BUSINESS IDEA

Business ideas may be generated by anyone connected with the firm, but it is very important that the most applicable idea to the firm's objectives and resources is chosen. As such, a procedure must be adapted. The steps in the proposed procedure are as follows:

- Preparation of the list of business ideas
- Screening of the listed ideas; and
- Final selection.



Methods of Searching for Ideas



Unanticipated Means

When the entrepreneur finds business ideas without serious effort, the method is referred to as unanticipated means. Included in this means are the following:

- 1. the person's work;**
- 2. the person's hobbies;**
- 3. the person's acquaintances; and**
- 4. a chance event encountered by the person.**

THE PERSON'S HOBBIES

A person's hobbies can also serve as a source of business ideas. Through hobbies, individuals develop skills and interests that can be turned into profitable ventures. When passion is combined with creativity, it can lead to the creation of unique products or services.

THE PERSON'S WORK

Business ideas can come from a person's daily job or profession. Employees who are directly connected with customers may discover unmet needs or demands. Recognizing these opportunities can lead to new products or services that can be developed into a business.

The Person's Acquaintances

Business ideas can come from other people such as friends, neighbors, or acquaintances. Sometimes, others can help a person realize potential opportunities that he may not have noticed. Suggestions or conversations with others can inspire someone to start a new business venture.



A CHANCE EVENT ENCOUNTERED BY THE PERSON

Unexpected events or experiences can also lead to business ideas. By observing situations and recognizing needs that arise by chance, a person can discover new opportunities. These chance encounters can become the starting point for a successful business.

DELIBERATE SEARCH

A disadvantage of unanticipated means in idea generation is the difficulty of ascertaining the exact date when the ideas will come pouring in. To offset this problem, a deliberate search for ideas is made. This type of idea generation takes the form of the following:

USING SEARCH QUESTIONS

Business ideas are expected to provide answers to some needs. Answers can be obtained if the right questions are asked. When questions are used to draw out specific answers, they are referred to as “search questions.”

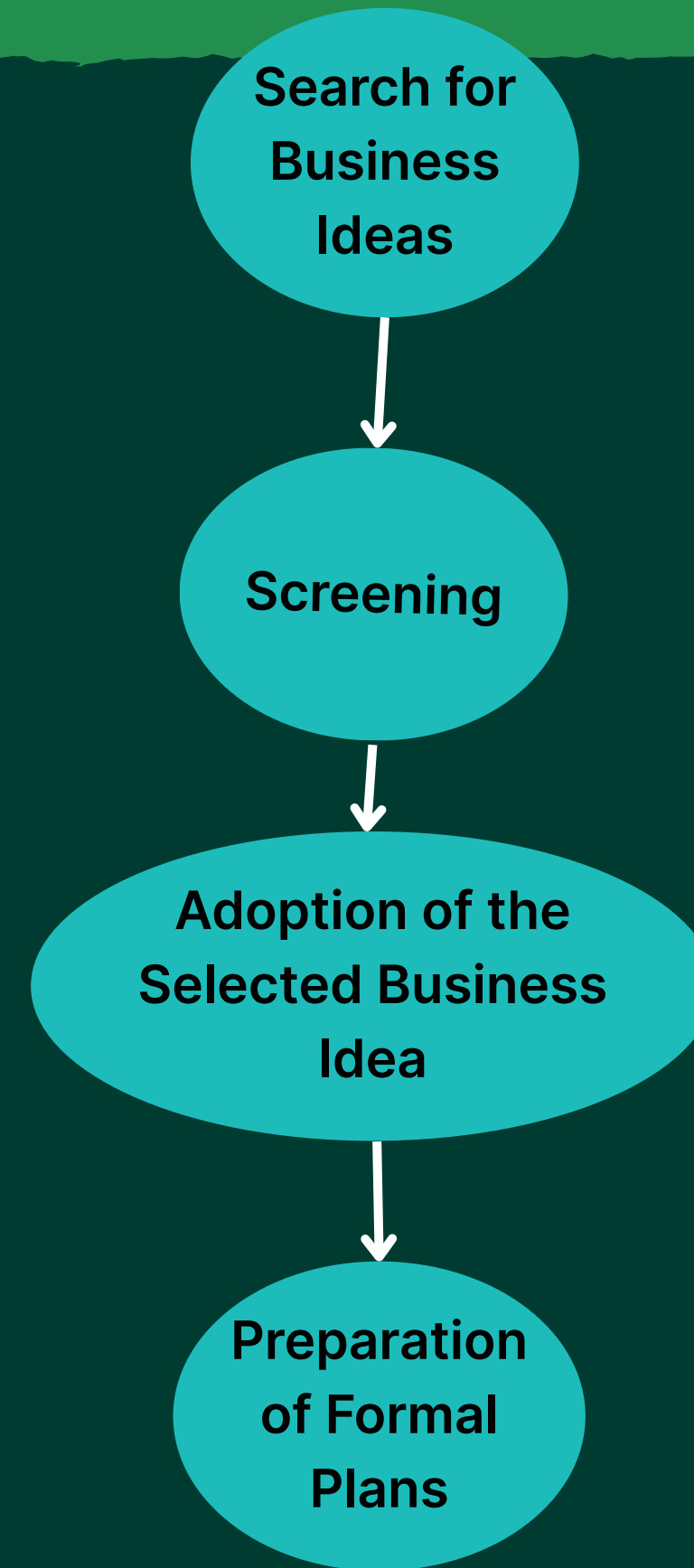


IDEA PROMPTING

Encounters with someone else's idea, or a customer request, or some other event may provide hints or cues leading to business ideas. For instance, somebody made a casual remark on the difficulty of preparing and meeting the various requirements of a wedding. That idea, when properly analyzed, may lead to the listing of a business idea.

SCREENING GENERATED IDEAS

The search for a sound business idea calls for the preparation of a list so the best can be selected. Before selection is made, however, the ideas listed must be screened first (Figure 11).



1. Unanticipated means
2. Deliberate search

1. Market feasibility
2. Technical feasibility
3. Financing feasibility
4. Financial feasibility

MARKET FEASIBILITY

Market feasibility refers to assessing whether a business idea has enough demand and competitive strength to succeed before launching.

STABLE AND SUFFICIENT DEMAND

A business needs stable and sufficient demand to survive. If there isn't enough or consistent demand for its product or service, the business won't last. Continuous or growing demand over time indicates market feasibility and helps justify the investments needed.

COMPETITIVE STRENGTH

The business must also have competitive strength, meaning it should be capable of effectively competing with existing or potential competitors. This competitiveness is determined by factors such as product offerings, pricing, distribution methods, and promotional strategies.

TECHNICAL FEASIBILITY

Technical feasibility evaluates whether a business idea can be successfully converted into a real product or service with the required quality and quantity. Problems may arise in acquiring materials, equipment, or manpower. For example, an idea may seem good but could fail due to recruitment or supply issues. These technical concerns, such as unstable materials or unreliable power supply, must be resolved before pursuing the business further.



FINANCING FEASIBILITY

Financing feasibility examines whether there are enough funds to start and sustain the business. The proposed owners must have sufficient capital or good credit standing to secure financing.

FINANCIAL FEASIBILITY

Financial feasibility assesses whether the business will be profitable. Since entrepreneurship aims to generate income, unprofitable ideas should be rejected. Profitability is analyzed through:

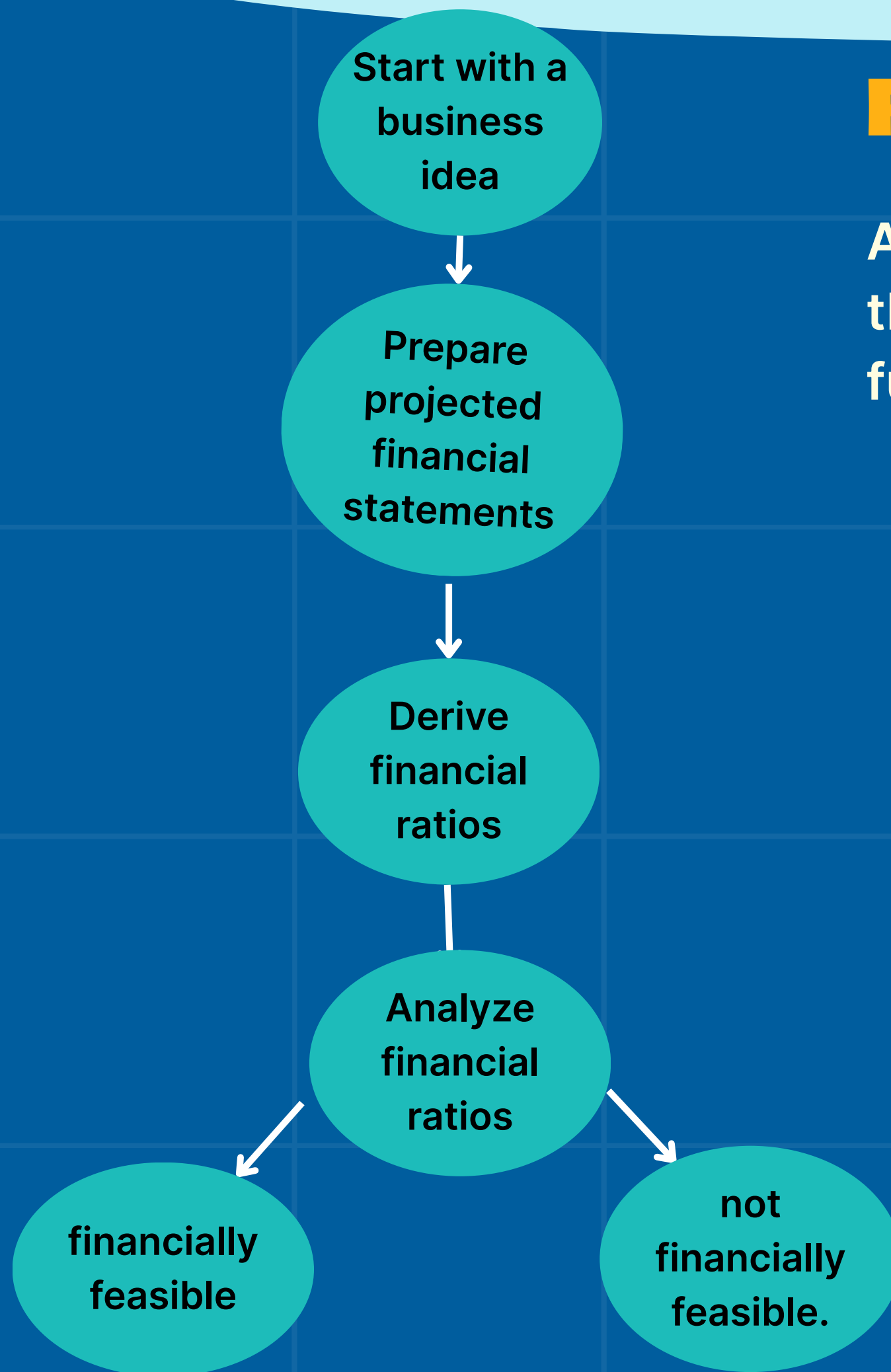
1. Preparing projected financial statements income statement, balance sheet, and cash flow statement; and
2. Evaluating financial ratios derived from these projections to determine the business's financial prospects.



FINANCIAL FEASIBILITY

A projected financial statement is a forecast of the firm's expected financial performance in the future.

- The projected income statement shows planned revenues, expenses, and profits over a certain period.
- The projected balance sheet presents the expected financial position of the business at a specific date.
- The projected cash flow statement displays the expected cash inflows and outflows from sales or purchases.



FINAL SELECTION

After screening all business ideas based on feasibility, the list may result in:

1. Status quo – no change to the current list;
2. A shorter list – only a few ideas remain; or
3. A zero listing – no ideas passed the feasibility test.

Business	Projected Net Income	Probability	Expected Value
Proposal A	₱5 million	60%	₱3 million
Proposal B	4 million	70%	2.8 million
Proposal C	3 million	80%	2.4 million

ORGANIZATIONAL CULTURE AND CREATIVITY

A creative organizational culture is essential for continuous innovation and business growth. This culture is characterized by:

1. Encouragement of creativity and risk-taking
2. Rewards for creativity
3. Open communication
4. Allowance for errors
5. A climate of participation
6. Structures that support creativity
7. Training in creative processes
8. Flexibility



ENCOURAGEMENT OF CREATIVITY AND RISK-TAKING

Creativity involves developing new ideas and solutions to problems that hinder business goals. It is a proactive and positive approach to problem-solving.

Innovation thrives in an organization that encourages experimentation and accepts mistakes as part of learning. A business idea only becomes valuable once tested—though testing always involves a certain degree of risk-taking.



REWARDS FOR CREATIVITY

Rewarding creative efforts motivates employees to continue innovating. Recognition, such as bonuses or incentives, inspires others to contribute new and useful ideas for the company.

OPEN COMMUNICATION

Open communication encourages the free exchange of ideas, quick problem-solving, and collaboration. It helps prevent issues and promotes teamwork within the organization.



ALLOWANCE FOR ERRORS

Allowing mistakes creates a supportive environment for innovation. When errors are treated as learning opportunities, employees stay motivated to explore creative solutions.

CLIMATE OF PARTICIPATION

Encouraging employee participation increases commitment and idea-sharing. When workers feel valued, they are more willing to contribute to solving company problems.

STRUCTURAL MECHANISMS THAT AID CREATIVITY

Organizations need systems or units that support creative projects. These mechanisms help employees turn innovative ideas into practical results.

TRAINING IN THE CREATIVE PROCESS

Training develops employees' creative skills. Even those without natural creativity can learn to think innovatively through proper guidance and experience.

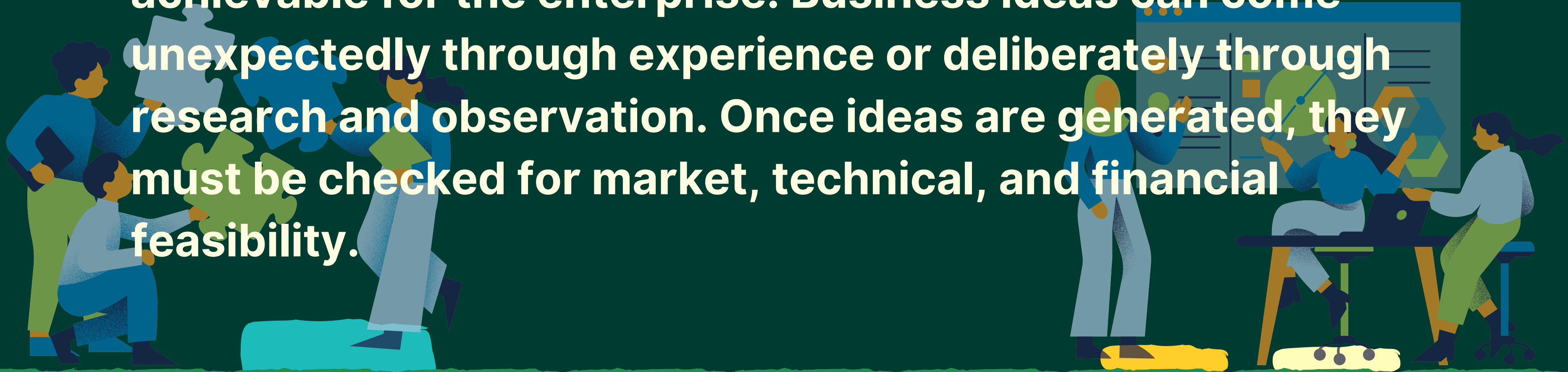
FLEXIBILITY

Flexibility allows employees to work at their most creative times and environments. Adjusting schedules or workplaces boosts productivity and innovation.



SUMMARY

The success of a business depends on having a good and practical idea. A sound business idea offers value and is achievable for the enterprise. Business ideas can come unexpectedly through experience or deliberately through research and observation. Once ideas are generated, they must be checked for market, technical, and financial feasibility.



**THANK
YOU!!!!**

